

THREAT OF BEING FIRED: SELECTION RULES AFFECT POLICYMAKING



RECALL THE COMMITMENT PROBLEM

To solve societal problems, a leader needs **power**

A powerful leader is tempted to **abuse her power**, e.g.,

- ▶ May not work hard on governing
- ▶ Divert resources to herself instead of solving problems
- ▶ Pursue policies that benefit her at the expense of others
- ▶ Restrict people's freedom for her own benefit

People may prefer a **weak leader and unresolved societal problems** to a strong leader abusing power

How can we solve this tradeoff: have a **powerful leader** and yet prevent her from **abusing power**?

SELECTION AND FIRING OF LEADERS

Key idea: The threat of being removed from power may provide incentives for leaders to not abuse power and deliver good outcomes

Next few lectures: We will explore how this threat shapes leaders' behavior

Today: Ways to select and remove leader from power

WHY IS THIS QUESTION INTERESTING?

As a group member:

- ▶ Design of rules
- ▶ Policy advocacy and design

As a leader: What to do to stay in power?

OUTLINE

WAYS TO SELECT AND REMOVE LEADERS

THE SELECTORATE MODEL

ANALYSIS USING BACKWARD INDUCTION

FORMAL AND INFORMAL WAYS OF HIRING AND FIRING LEADERS

The process of hiring and firing leaders may follow formal rules:

- ▶ Presidents and legislators are elected for 2-6 year terms according to electoral rules
- ▶ Speakers of legislatures and often elected at the beginning of a new session by majority vote
- ▶ Conclave of cardinals appoints a pope by $\frac{2}{3}$ majority

Sometimes the process is not formalized but may follow social norms, historical conventions or force:

- ▶ Monarchs may be removed by revolutions or rivals
- ▶ Autocrats may be deposed by the military in coup d'état

How ways to select and fire leaders affect leader's policies?

GAME THEORY TO THE RESCUE: SIMPLIFY

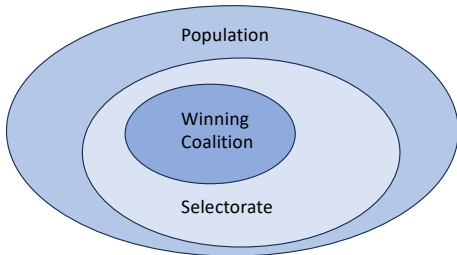
In every selection procedure:

There is a group affected by leader's actions: **Population**

There is group able to affect who the leader is: **Selectorate**

There is group keeping leader in power: **Winning Coalition**

The size of these groups differ across these examples



EXAMPLES OF SELECTORATE AND WINNING COALITIONS

Democracy

- ▶ Selectorate: Adult Citizens
- ▶ Winning Coalition: Majority (or plurality) of voters

Institutionalized autocracies

- ▶ Selectorate: Party members
- ▶ Winning Coalition: Critical mass of party members (e.g. Central committee)

Juntas or monarchies

- ▶ Selectorate: Military offices or nobles/clergy
- ▶ Winning Coalition: A critical group of generals or bishops

Corporations

- ▶ Selectorate: The Board
- ▶ Winning Coalition: Majority of the Board

EXERCISE

We will investigate how the size of winning coalition affects the behavior of the leader

Please form groups of 6

Those not in any group should join any group as observers

Each group should designate a leader among themselves

The rest of the group is selectorate

INSTRUCTIONS

The leader has a budget of **\$50**

The leader has to choose what proposal to make

- ▶ **Proposal 1:** Prepare study materials of APII
 - ▶ Costs the leader **\$25** to prepare
 - ▶ Gives **every** member a payoff of **15**
 - ▶ The leaders does **not** benefit from the materials, but keeps the rest of the budget
- ▶ **Proposal 2:** Distribute the money among all members of the group, **including the leader**
 - ▶ The leader must specify who receives how much
 - ▶ Assume that **\$x** gives a member payoff **x**

Discussion between the leader and the group is allowed

INSTRUCTIONS

Once the final proposal is made, members vote

If leader gets **3 or more** votes, their proposal is implemented

- ▶ Everyone receives benefits from leader's proposal

Otherwise, everyone receives payoff of **10**!

Then, play the game again as before, but now if leader gets **2 or more** votes, their proposal is implemented

Otherwise, everyone receives payoff of **10**

If you have time, play again with only **1 or more** votes needed for the leader

OUTLINE

WAYS TO SELECT AND REMOVE LEADERS

THE SELECTORATE MODEL

ANALYSIS USING BACKWARD INDUCTION

THE SELECTORATE MODEL: PLAYERS

Players: Incumbent leader (L) and Challenger (C)

Population of size N

Winning Coalition (WC) of size W needed to stay in power

If all W people support the leader, she stays in power

Otherwise L loses power

A SELECTORATE MODEL: ACTIONS

Leader has resources R

Resources can be spent on:

- ▶ **Public good**, $g \in \{0, 1\}$, at price p
 - ▶ Every citizen gets utility 1 from public good
 - ▶ Providing public good is good policy: $N > p$
- ▶ **Private good**, x , to each citizen in leader's winning coalition
- ▶ **Rents** for the leader in power: $R - \Delta$, where Δ denotes the resources spent on private and public goods

Policy proposal is (Δ, g, x)

THE SEQUENCE OF MOVES

L proposes (Δ, g, x) such that

$$pg + Wx = \Delta \text{ and } \Delta \leq R$$

Each member of the WC chooses whether to support L or C

L wins if all members of WC support her; otherwise C wins

PAYOFFS

If leader wins:

- ▶ Leader:

$$\underbrace{B}_{\text{office benefits}} + \underbrace{R - \Delta}_{\text{politician's rents}}$$

- ▶ WC member:

$$U_W(x, g) = g + x$$

- ▶ Citizen not in winning coalition:

$$U_C(x, g) = g$$

If challenger wins:

- ▶ Leader: 0
- ▶ Every citizen:

$$U_W = U_C = u > 1$$

OUTLINE

WAYS TO SELECT AND REMOVE LEADERS

THE SELECTORATE MODEL

ANALYSIS USING BACKWARD INDUCTION

ANALYSIS

Last stage: Members of WC vote for L if

$$U_W(x, g) = g + x \geq u$$

First stage: So leader chooses (Δ, x, g) to

$$\max R - \Delta$$

subject to

$$pg + Wx = \Delta \text{ (budget constraint)}$$

$$U_W(x, g) = g + x = u \text{ (winning constraint)}$$

Solution: provide the good that is cheaper! (recall micro)

LOGIC OF GOOD PROVISION

Providing one unit of g gives each member of WC the same utility as providing one unit of x

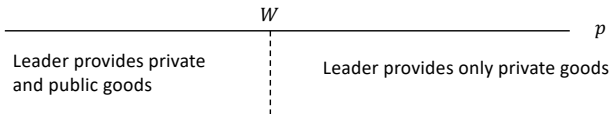
Providing one unit of g costs p

Providing one unit of x costs W

Try to deliver utility using the policy that costs less

- ▶ If $p > W$, provide only private goods
- ▶ If $p < W$, provide public good first

LEADER POLICY DECISION



Large WC $\rightarrow$ Providing public goods = good politics

Small WC $\rightarrow$ Providing public goods $\neq$ good politics

LEOPOLD II

King of Belgium 1865-1909, constrained by elected parliament and cabinet members (constitutional monarchy):

- ▶ Great reformer
- ▶ Right to unionize
- ▶ Public works projects
- ▶ Brought upon prosperity



Private owner of Congo Free State enforced by private army:

- ▶ Brutal ruler
- ▶ Slavery
- ▶ Extraction of resources
- ▶ Genocide

LARGER W MEANS LARGER GOVERNMENT SPENDING AND LOWER LEADER'S RENTS

If $p > W$:

$$U_W(x, g = 0) = x = u \implies$$

$$x = u \implies$$

$$\Delta = pg + Wx = Wu$$

$$R - \Delta = R - Wu$$

If $p < W$:

$$U_W(x, g = 1) = 1 + x = u \implies$$

$$x = u - 1 \implies$$

$$\Delta = p + W(u - 1)$$

$$R - \Delta = R - p - W(u - 1)$$

TAKING STOCK

Leaders needing large winning coalitions for survival will find it in their interest to solve societal problems

We should see more **corruption** (leader's private benefits) and **favoritism** (private goods to selected people) when leaders only need a small group of supporters to survive

APPLICATION: HOW CAN WE PROTECT THE RAINFORESTS OF THE WORLD?

Rainforest is the “lungs of the world”

Much of rainforest is being destroyed for agriculture

Cosmopolitan perspective:

economic benefits $<$ environmental costs

Rainforest country national perspective:

economic benefits $>$ environmental costs

WHAT IS THE CHEAPEST WAY TO PROTECT THE RAINFOREST?

Recent suggestion: The world pay rainforest countries to stop deforestation

Two biggest rainforest areas: Brazil and Congo

Brazil has a democratically elected government

Although nominally a democracy, Congo leaders stay in power with support of military

Which country is cheaper (per unit of rainforest) to convince to stop deforestation?

LEGITIMACY $\neq$ POLITICAL SURVIVAL

Selectorate model predicts that leaders with small winning coalitions do not provide public goods

Recall that legitimacy is more likely to arise when the leader delivers public goods

So Selectorate model predicts that leaders with small winning coalition are less likely to be voluntarily obeyed

Yet they may remain in power despite being perceived as illegitimate

So our discussion would predict that leaders with small winning coalitions are more likely to use coercive power

APPLICATION: VENEZUELA

After deposing Maduro, the U.S. government faced a choice whom to designate as “legitimate leader” of Venezuela

Two obvious choices

- ▶ Opposition leaders María Corina Machado or Edmundo González
- ▶ Vice President Delcy Rodríguez



Assuming the U.S. is interested in good outcomes for Venezuelans and oil access for American companies, what are the considerations involved in this choice?

(Use ideas about legitimacy and selectorate model)

KEY LESSONS

Small number of people needed to keep power

- ▶ Providing public goods is **bad politics**
- ▶ Corruption and favoritism likely to arise

Large number of people needed to keep power

- ▶ Providing public goods is **good politics**
- ▶ Fewer governmental resources are spent on private benefits

GOING FORWARD

Next we will explore how the threat of removing the leader from power shapes different aspects of their policy making

- ▶ How much effort leader puts to implement policies well?
- ▶ Which public good to provide? Whose preferences to tailor the policies to?